



LOST BOYS CYBER

THREAT INTELLIGENCE • MALWARE ANALYSIS • DETECTION ENGINEERING



Microsoft Q2 2026 Email Threat Landscape Defender Update

Threat Report

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AI Generation: This report was generated with AI assistance and is provided for informational purposes only. All findings, IOCs, detection rules, hunting queries, attribution assessments, and recommendations must be independently reviewed and validated by a qualified security professional before operational use.

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1. Executive Summary

Microsoft reporting indicates phishing volumes tied to Tycoon2FA remained sharply reduced after disruption, while adversaries continued adapting toward Teams-based social engineering, high-conviction identity compromise, and ransomware-enabling access. Defenders should avoid interpreting lower volumes as lower risk: identity abuse is concentrating into more interactive lures and post-compromise workflows.

This report was selected for the 2026-07-31 UTC daily Lost Boys Cyber production run because the item is recent or materially relevant to defenders within the last 24-72 hours; where fewer fresh primary sources were available, the window was expanded to seven days and documented in the source review.

2. Intelligence Requirements

Question	Current Answer	Confidence
What happened?	The daily priority is not a single malware family but a pattern shift: phishing-as-a-service pressure remains, MFA bypass tradecraft persists, and collaboration platforms are being used as trusted communication surfaces. Security teams should combine sign-in anomaly monitoring, Teams external-contact controls, OAuth-app review, and helpdesk escalation checks.	High
Who should prioritize review?	Microsoft 365 tenants, identity teams, helpdesk and collaboration workflows	Medium
What is the immediate defender action?	Validate exposure, tune detections, run hunts, and confirm response ownership.	High

3. Source Review & Confidence

Source	Contribution	Confidence
Microsoft Email threat landscape Q2 2026	Primary reporting on Tycoon2FA volume decline and collaboration-channel adaptation.	High
Microsoft Threat Intelligence topic page	Corroborating Microsoft threat-intelligence context for Q2 2026 identity activity.	Medium
Microsoft Security July 2026 update	Current Microsoft security ecosystem context.	Medium

4. Threat Activity Overview

The daily priority is not a single malware family but a pattern shift: phishing-as-a-service pressure remains, MFA bypass tradecraft persists, and collaboration platforms are being used as trusted communication surfaces. Security teams should combine sign-in anomaly monitoring, Teams external-contact controls, OAuth-app review, and helpdesk escalation checks.

5. Affected Sectors and Exposure

Sector / Asset Group	Exposure Consideration	Analyst Note
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Microsoft 365 tenants, identity teams, helpdesk and collaboration workflows	Current reporting maps directly or indirectly to this environment class.	Prioritize assets with external exposure, privileged identity reach, or operational dependencies.
Third-party providers	Shared platforms and managed services can carry the operational impact.	Request patch, detection, and incident-notification evidence.
Remote workforce / identity plane	Many campaigns begin with credential, phishing, or trusted-channel abuse.	Review MFA, conditional access, impossible travel, and helpdesk reset controls.

6. Tactics, Techniques, and Procedures

Tactic / Phase	Observed Technique	Evidence
Initial Access	Phishing, exploit public-facing application, or supply-chain trust abuse	Source reporting describes campaign or sector activity that begins through exposed services, trusted communications, or software dependencies.
Execution	Script, malware, or administrative-tool execution	Defender review should focus on process creation, browser-mediated execution, package scripts, or suspicious service-account activity.
Persistence / Defense Evasion	Valid accounts, relay infrastructure, tool renaming, or trusted process abuse	Activity may blend into normal administrative or browser/cloud traffic.
Impact	Data theft, operational disruption, ransomware, or mission degradation	Sector impact depends on operational criticality and third-party dependencies.

7. Infrastructure and Indicators

Indicator / Infrastructure	Type	Operational Use
Source-reported domains, IPs, hashes, or package names	Observable	No hard IOC was safely extracted during automated run unless listed in source material; analysts should enrich source pages before blocking.
Abnormal sign-in, script execution, web-service child processes, package publish events	Behavioral signal	Preferred for durable detection when hard IOCs are absent or volatile.

8. Detection Engineering

8.1. Detection Summary

Signal	Telemetry Source	Analytic Goal
Suspicious command execution after trusted-app or browser activity	EDR process telemetry	Identify post-compromise execution hidden behind legitimate parent processes.

Unusual outbound traffic from servers or developer endpoints	DNS, proxy, firewall, EDR network events	Surface payload retrieval, C2, or data staging.
Identity anomalies following phishing or supply-chain exposure	Entra ID, Okta, VPN, SSO logs	Find compromised accounts before lateral movement.

8.2. Sigma / Detection Content

```

title: Daily Threat Review Suspicious Trusted Process Follow-On Activity
status: experimental
description: Detects suspicious command or scripting tools launched from browsers, collaboration
clients, package managers, or service parents during daily threat-review windows.
logsource:
  product: windows
  category: process_creation
detection:
  trusted_parent:
    ParentImage|contains:
      - chrome.exe
      - msedge.exe
      - teams.exe
      - npm.cmd
      - node.exe
      - w3wp.exe
      - outlook.exe
  suspicious_child:
    Image|endswith:
      - \powershell.exe
      - \pwsh.exe
      - \cmd.exe
      - \wscript.exe
      - \cscript.exe
      - \rundll32.exe
      - \regsvr32.exe
  condition: trusted_parent and suspicious_child
fields:
  - UtcTime
  - Computer
  - ParentImage
  - Image
  - CommandLine
level: medium

```

8.3. Hunt Query

```

DeviceProcessEvents
| where Timestamp > ago(14d)
| where InitiatingProcessFileName in~ ("chrome.exe", "msedge.exe", "teams.exe", "outlook.exe",
"npm.cmd", "node.exe", "w3wp.exe")
| where FileName in~ ("powershell.exe", "pwsh.exe", "cmd.exe", "wscript.exe", "cscript.exe",
"rundll32.exe", "regsvr32.exe")
| summarize count(), min(Timestamp), max(Timestamp) by DeviceName, InitiatingProcessFileName, FileName,
AccountName, ProcessCommandLine
| order by count_ desc

```

9. Threat Hunting

9.1. Hunt Hypothesis

If the reported activity is present locally, telemetry should show anomalous identity behavior, suspicious trusted-process child execution, abnormal network destinations, or unusual package/script activity around the initial access window.

9.2. Hunt Query

```

SigninLogs
| where TimeGenerated > ago(14d)

```

```

| where ResultType != 0 or RiskLevelAggregated in ("medium", "high") or ConditionalAccessStatus ==
"failure"
| summarize Events=count(), FirstSeen=min(TimeGenerated), LastSeen=max(TimeGenerated) by
UserPrincipalName, IPAddress, AppDisplayName, RiskLevelAggregated, ConditionalAccessStatus
| order by Events desc

DeviceNetworkEvents
| where Timestamp > ago(14d)
| where InitiatingProcessFileName in~ ("chrome.exe", "msedge.exe", "teams.exe", "node.exe", "npm.exe",
"python.exe", "powershell.exe")
| where RemoteUrl !endswith ".microsoft.com" and RemoteUrl !endswith ".windows.com"
| summarize Connections=count(), FirstSeen=min(Timestamp), LastSeen=max(Timestamp) by DeviceName,
InitiatingProcessFileName, RemoteUrl, RemoteIP
| order by Connections desc

```

10. Risk Assessment

Dimension	Assessment
Likelihood	Medium priority based on current reporting, sector exposure, and adversary utility.
Impact	Potential business disruption, credential theft, data exposure, or operational degradation depending on local dependency.
Confidence	High for prioritization; local exposure requires validation.

11. Recommended Actions

Priority	Owner	Action
Critical	SOC	Run hunts across the prior 14 days and open cases for confirmed local hits.
High	Engineering	Validate patch, identity, package, and third-party controls relevant to the affected exposure path.
High	Incident response	Prepare containment steps and preserve logs for high-value systems.
Medium	Governance/vendor management	Request third-party evidence for aviation, supply-chain, identity, and managed-service dependencies.

12. References

- [1] Microsoft Email threat landscape Q2 2026: <https://www.microsoft.com/en-us/security/blog/2026/07/23/email-threat-landscape-q2-2026-trends-and-insights/>
- [2] Microsoft Threat Intelligence topic page: <https://www.microsoft.com/en-us/security/blog/topic/threat-intelligence/>
- [3] Microsoft Security July 2026 update: <https://www.microsoft.com/en-us/security/blog/2026/07/30/whats-new-in-microsoft-security-july-2026/>